
HIGH-IMPACT/LOW-PROBABILITY ANALYSIS

Highlights a seemingly unlikely event that would have major policy consequences if it happened.

WHEN TO USE

High-Impact/Low-Probability Analysis is a contrarian technique that sensitizes analysts to the potential impact of seemingly low probability events that would have major repercussions on US interests. Using this technique is advisable when analysts and policymakers are convinced that an event is unlikely but have not given much thought to the consequences of its occurrence. In essence, this can be a warning that the intelligence and policy communities must be alert to an unexpected but not impossible event. For example, the fall of the Shah, the collapse of the Soviet Union, and the reunification of Germany were all considered low probability events at one time; however, analysts might have benefited from considering the consequences of such events and how they might plausibly have come about.

VALUE ADDED

Mapping out the course of an unlikely, yet plausible, event can uncover hidden relationships between key factors and assumptions; it also can alert analysts to oversights in the mainstream analytic line. In addition, an examination of the “unthinkable” allows analysts to develop signposts that may provide early warning of a shift in the situation. By periodically reviewing these indicators an analyst is more likely to counter any prevailing mind-set that such a development is highly unlikely.

THE METHOD

If there is a strongly held view that an event is unlikely, then postulating precisely the opposite should not be difficult.

- Define the high-impact outcome clearly. This process is what will justify examining what most analysts believe to be a very unlikely development.
- Devise one or more plausible explanations for or “pathways” to the low probability outcome. This should be as precise as possible, as it can help identify possible indicators for later monitoring.
- Insert possible triggers or changes in momentum if appropriate. These can be natural disasters, sudden health problems of key leaders, or new economic or political shocks that might have occurred historically or in other parts of the world.
- Brainstorm with analysts having a broad set of experiences to aid the development of plausible but unpredictable triggers of sudden change.
- Identify for each pathway a set of indicators or “observables” that would help you anticipate that events were beginning to play out this way.
- Identify factors that would deflect a bad outcome or encourage a positive outcome.